BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company of New York, Inc.

Cases 25-E-0072 and 25-G-0073

June 2025

Prepared Rebuttal Testimony of Staff Finance Panel:

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Q. Members of the Staff Finance Panel, referred to as the Panel, please state your names and business address.

A. Our names are David P. Warnock and Robert A. Palleschi. We are employed by the New York State Department of Public Service, or Department. Our business address is Three Empire State Plaza, Albany, New York 12223.

Q. Has the Panel previously sponsored testimony in this proceeding?

A. Yes. We provided direct testimony in this proceeding that the Department filed on May 30, 2025.

PURPOSE OF TESTIMONY

Q. What is the purpose of the Panel's rebuttal testimony in these proceedings?

A. The purpose of our rebuttal testimony is to respond to issues about the return on equity, referred to as ROE, raised by certain witness in their respective initial testimonies, filed on May 30, 2025. In particular, we will respond to Mr. William D. Yates from the Public Utility Law Project, referred to as PULP, Mr. Dario Quinsac from the Office of State Senator Robert Jackson,

and Assemblymember Christopher Burdick.

Q. Is the Panel sponsoring any exhibits?

A. Yes. We are sponsoring four exhibits, identified as Exhibit__(SFP-28) through Exhibit__(SFP-31). These exhibits will be described throughout our rebuttal testimony.

SUMMARY OF REBUTTAL FOR PULP

Q. Please summarize the Panel's rebuttal of the testimony of Mr. Yates.

A. In this testimony, we will describe Mr. Yates' concerns regarding ROE, as well as the proposals that he recommends in response to his concerns. We will address the flaws with each of his proposals and explain why we recommend the New York State Public Service Commission, or Commission, reject them. Although we note that Mr. Yates' testimony addresses his proposal in the event a multi-year settlement is reached, it is important that we address the misconceptions and misunderstandings that Mr. Yates expresses on these topics in his testimony.

Q. Please briefly describe Mr. Yates' proposals.

A. Mr. Yates proposes an annual bi-directional true-up of the authorized ROE based on an annual

review of actual cost of equity incurred by Consolidated Edison Company of New York, Inc., referred to as Con Edison or the Company. For this true-up, the actual cost of equity would be measured by the Staff ROE model. In addition, Mr. Yates proposes a more restrictive earnings sharing mechanism, referred to as an ESM, than what is currently reflected in Con Edison's current rate plan. Finally, Mr. Yates proposes that a study be conducted to estimate the potential impacts that his proposed ROE true-up and ESM would historically have had on the Company's cost of capital and upon the incremental resources that would be necessary for parties to participate in rate cases.

Q. What are Mr. Yates' concerns regarding the ROE for the Company?

A. Mr. Yates primarily expresses concern with setting rates for the Company based on a fixed ROE spanning multiple rate years. To address this, he proposes the Commission adopt measures to periodically true-up the authorized ROE for the Company, paired with a more restrictive ESM that he claims will provide more equitable

sharing of excess earnings with ratepayers.

Q. Why does Mr. Yates express concern about setting the Company's rates based on a fixed ROE spanning multiple rate years?

A. Mr. Yates asserts that, in his estimation, an outcome in these proceedings that leads to a fixed ROE spanning multiple rate years likely would not be in the public interest. On page 52 of his initial testimony, Mr. Yates opines that the primary flaw of this framework is that it "establishes fixed ROEs for entire rate terms without incorporating any 'true-up' mechanism to account for changes in macroeconomic and investment expectations that impact the Company's cost of equity as realized during the rate plan."

Q. How did Mr. Yates arrive at his conclusion?

A. Mr. Yates compared the ROEs the Commission authorized for the Company in previous rate orders to Staff's testimonial positions in other electric, gas, and steam rate cases from 2010 to 2024. According to page 14 of Mr. Yates' testimony, the ROEs the Commission previously authorized for the Company in settled proceedings generally exceeded the subsequent results of

Staff's ROE model in the other electric, gas, and steam proceedings. He calculates that this cost Con Edison ratepayers up to $781.9 million from 2010 to 2024. Exhibit__(WYD-3) demonstrates how Mr. Yates arrived at this figure.

Q. What measures does Mr. Yates propose in light of his concerns with setting a fixed ROE that spans multiple rate years?

A. Mr. Yates makes several proposals. On page 51 of his initial testimony, Mr. Yates describes his proposals for a multi-year rate plan established pursuant to a joint proposal. First, he proposes an annual bi-directional true-up of the Company's authorized ROE via a regulatory deferral for future Commission disposition. Second, he proposes pairing the ROE true-up with an ESM that is more restrictive. Finally, Mr. Yates proposes a study of the impact of his ROE true-up and ESM proposals on the Company's cost of capital and rate case expenses.

Q. What is the Panel's response to Mr. Yates' proposals for a multi-year rate plan established pursuant to a joint proposal?

A. For purposes of this testimony, we confine

ourselves to addressing a litigated outcome, rather than any outcome that may result from settlement negotiations. Therefore, we will respond to Mr. Yates' proposals to the extent that they are applicable to a one-year litigated case in the remainder of our testimony. We note that a single-year rate plan could nevertheless apply to multiple rate years if the Company does not file a request for new rates to take effect immediately or shortly following the Rate Year, or the twelve months ending December 31, 2026.

Q. Does the Panel agree with Mr. Yates that an outcome in this proceeding that results in a fixed ROE would likely not be in the public interest?

A. No. In our opinion, Mr. Yates' calculations and assumptions are flawed. Our review demonstrates that his proposals would actually result in ratepayer harm and do not serve the public interest.

PULP'S PROPOSED TRUE-UP OF ROE

Q. Please elaborate on Mr. Yates' proposal that the Commission annually true-up the Company's authorized ROE to its actual cost of equity.

A. Mr. Yates proposes tracking and applying the updated results of our ROE model over the course of each rate year. To the extent that the average cost of equity, calculated as a monthly average of our ROE model results over the course of a rate year, deviates from the ROE authorized by the Commission at the inception of each rate year, Mr. Yates argues that the difference should be deferred as either a regulatory asset or liability, as appropriate, for disposition by the Commission in the Company's next rate case.

Q. How does Mr. Yates support his proposal?

A. On page 59 of his initial testimony, Mr. Yates states, "the Commission has tools at its disposal to mitigate the impact of business risks on utility earnings and cash flows," including fully forecasted test years, deferrals, true-up mechanisms, and/or pass-through of costs that are beyond the Company's ability to forecast or control. The implication is that the cost of equity is one of the costs that is beyond the Company's ability to forecast or control and thus should be afforded such ratemaking treatment.

Q. What effect would instituting a true-up mechanism

for ROE have on customers?

A. One of the risks faced by a utility is that the cost of equity might increase before rates can be reset. Instituting a bi-directional true-up for ROE would transfer this risk from shareholders to customers. Under PULP's proposal, if the cost of equity were to decline during the Rate Year, customers would be rewarded for taking on this risk. However, if the cost of equity were to rise during the Rate Year, then customers would be penalized for taking on this risk.

Q. Is the cost of equity more likely to rise or decline during the Rate Year?

A. This is unknown and unknowable. The cost of capital, including the cost of equity, is highly stochastic over short periods of time. Over longer periods of time, trends may emerge that last for decades. For instance, as shown in a report from Regulatory Research Associates, entitled "Major Energy Rate Case Decisions in the U.S., January-December 2024," published on February 4, 2025 and included as Exhibit___(SFP-28), the yield on the 30-year United States, or U.S., Treasury steadily declined from 8.61

percent in 1990 to 4.41 percent in December 2024, and the average authorized ROE in the U.S. for electric and gas utilities steadily declined from 12.69 percent in 1990 to 9.74 percent in December 2024. This reveals that the cost of capital has generally been declining over the course of three decades. However, there is no guarantee that this trend will continue.

Q. Please provide an example of why this trend might not continue.

A. Exhibit___(SFP-29) is a chart from the St. Louis Federal Reserve depicting the yield on the 10-year U.S. Treasury from 1962 to 2025, and it serves as a basic measure of the cost of capital in the United States over that time. At the start of 1962, the 10-year U.S. Treasury yielded approximately 4.00 percent. Towards the end of 1981, the yield rose to approximately 15.50 percent. By the middle of 2020, the yield fell below one percent. This indicates that, prior to the 1980s, the cost of capital in the United States had been rising, but then that trend halted and reversed. It is possible that capital costs may begin to climb again in the years

ahead, and there is no way to predict if or when that may happen.

Q. Is there a relationship between the cost of equity and the rate of inflation?

A. Yes. During periods of high inflation, the Federal Reserve tends to adopt a policy of higher interest rates. This is reflected in the cost of capital across the U.S. economy, including the utility industry. As shown on page 5 of the Regulatory Research Associates report, included in Exhibit__(SFP-28), there is a documented correlation between the yield on the 30-year U.S. Treasuries and the average authorized ROE for U.S. utilities. Under Mr. Yates' deferral proposal, a regulatory asset would be more likely during periods of high inflation and a regulatory liability would be more likely during periods of low inflation. As a result, there would be incremental upward pressure on customer rates to make the Company whole for a rising cost of equity at precisely the same time when customers are also enduring a rapidly rising cost of living.

Q. Did Mr. Yates discuss his expectations if the

average ROE results are more likely to increase or decrease?

A. Yes. On page 58 of his direct testimony, Mr. Yates claims that it does not appear likely that the use of an annual ROE true-up would result in rate increases as often as it results in rate decreases based on the historic data he analyzed from 2010 through 2024.

Q. Does the Panel agree with Mr. Yates' argument?

A. No. In the first place, Mr. Yates examined only a specific time period in which the cost of capital was often declining. However, as discussed earlier, it is unknown and unknowable whether this will continue. Mr. Yates acknowledges that the results of Staff's ROE model have experienced increases in recent years. However, it would be a mistake to conclude that this is an unusual state of affairs. For Mr. Yates to predict generally favorable movements in the future cost of equity is highly speculative.

Q. Did Mr. Yates comment on how economic factors impact the cost of equity?

A. Yes. On page 52 of his initial testimony, Mr. Yates stated, "[m]acroeconomic and utility sector

investment considerations, as measured by expectations for gross domestic product, inflation, stock prices, dividends, interest rates, the possibility of recession, and other factors, changed significantly during the years encompassed by each of these rate plans."

Q. Did Mr. Yates analyze macroeconomic and investment factors and their potential impact on his proposed annual ROE true-up and ESM modifications?

A. It does not appear that Mr. Yates analyzed financial market factors, such as stock market volatility, economic recessions, gross domestic product, inflation, or interest rates, as he did not provide specific assessments of these factors.

Q. Does the Panel agree with Mr. Yates' proposal to true-up the cost of equity via a regulatory deferral?

A. No. Implementing a true-up mechanism for the cost of equity would transfer significant risk from shareholders to customers. For the reasons previously discussed, this is a fatal flaw in Mr. Yates' proposal. Captive utility customers

should not be required to bear the risk that the cost of equity might significantly increase. Instead, this risk should be borne by shareholders who have freely and voluntarily chosen to accept this risk.

Q. If a customer of Con Edison was willing to accept this risk, is there a way for this customer to do so?

A. Yes. This customer could choose to invest in the stock of Con Edison's parent company, Consolidated Edison, Inc., or any other equity investment that they felt would be worthwhile.

Q. How would the Panel respond to an argument that not all of Con Edison's customers can afford to be stockholders in Consolidated Edison, Inc.?

A. That is all the more reason not to forcibly impose the risks and potential penalties of stock ownership onto them. This is a risk that should be borne by shareholders, and by shareholders alone.

Q. How does Mr. Yates justify this recommendation?

A. In his initial testimony, Mr. Yates notes that the Recommended Decision in Case 91-M-0509 included a recommendation that the Commission

adopt an annual proceeding framework for determining ROE.

Q. Has the Commission adopted an annual proceeding framework for determining ROE?

A. No. The Commission did not adopt the Recommended Decision in Case 91-M-0509. Furthermore, the Commission has not reconsidered adopting an annual proceeding for determining ROE in any other generic proceeding since.

Q. Is Mr. Yates' proposed annual true-up of the ROE within multi-year rate plans a novel proposal?

A. No. Mr. Yates has made this proposal in several prior rate proceedings.

Q. Has the Commission addressed Mr. Yates' proposal in prior rate cases?

A. Yes, the Commission rejected Mr. Yates' proposals in each and every case. For example, it rejected Mr. Yates' arguments in the prior rate proceedings for Con Edison, Cases 22-E-0064 and 22-G-0065, in the Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans with Additional Requirements, issued on July 20, 2023, and referred to as the 2023 Rate Order. Moreover, the Commission noted that to

the extent it wished to reexamine rate case procedures, it would do so through a broader process, involving input from all stakeholders, rather than an individual rate case.

Q. Did the Commission reiterate its position on this issue in any other rate cases?

A. Yes. In Cases 22-E-0317 and 22-G-0318 involving New York State Electric & Gas Corporation, referred to as NYSEG, and Cases 22-E-0319 and 22-G-0320 regarding Rochester Gas and Electric Corporation, referred to as RG&E, the Commission again rejected Mr. Yates' arguments. Furthermore, on pages 28 and 29 of its Order Adopting Joint Proposal, issued on October 12, 2023, the Commission emphasized its authority to ensure that rates remain just and reasonable, highlighting its legal obligation to intervene if rates are suspected of being unreasonable. We note that the Commission has a history of doing just that. For instance, it initiated Case 13-G-0136 after reviewing National Fuel Gas Distribution Corporation's earnings and finding that it had significantly exceeded its authorized ROE.

Q. The Panel mentioned earlier that the true-up proposed by PULP is bi-directional, meaning that it could result in customer harm if the cost of equity rises. Please provide an example of a rate case where this would have occurred.

A. One example of where this would have occurred was the rate proceedings for The Brooklyn Union Gas Company d/b/a National Grid NY, referred to as KEDNY, and KeySpan Gas East Corporation d/b/a National Grid, referred to as KEDLI, in Cases 19-G-0309 and 19-G-0310, respectively. In August 2019, Staff filed testimony recommending a ROE of 8.20 percent for a one-year rate plan. In the joint proposal, the signatory parties recommended the Commission fix the ROE at 8.80 percent for the four-year term ending on March 31, 2024, which was ultimately adopted by the Commission on August 12, 2021. During the four-year rate plan for KEDNY and KEDLI, equity return requirements as measured by Staff's ROE model increased significantly. This is evidenced by Staff testimony filed on March 1, 2024, in National Fuel Gas Distribution Corporation's rate proceeding, Case 23-G-0627, where Staff

recommended a 9.25 percent ROE for a one-year rate plan.

Q. What is the Panel's conclusion regarding Mr. Yates' proposal for an annual update of the authorized ROE in light of the Commission's past evaluations and decisions on this issue?

A. Our conclusion is that Mr. Yates has not presented any new arguments concerning annual ROE updates and true-ups within multi-year rate plans. His positions remain consistent with those previously evaluated and rejected by the Commission. Moreover, had Mr. Yates made the same proposal in the Company's prior rate cases. Had the Commission adopted it, it would have hurt customers, as shown with the example of KEDNY and KEDLI discussed previously. Adopting Mr. Yates' proposal into any rate plan introduces unnecessary risks and potentially higher rates. Therefore, we recommend that the Commission continue to reject Mr. Yates' proposals on this matter.

PULP'S PROPOSED ESM

Q. Please elaborate on Mr. Yates' ESM proposal.

A. On page 65 of his direct testimony, Mr. Yates

proposes multiple changes to the Company's current ESM. Specifically, Mr. Yates proposes that the Commission adopt a two-tiered ESM that contains no "deadband." The first tier of Mr. Yates' ESM proposal would require the Company to defer 50 percent of excess earnings up to 150 basis points above the authorized ROE for the benefit of ratepayers, allowing shareholders to retain the remaining 50 percent. The second tier of his ESM proposal requires the Company to defer 90 percent of the earnings that exceed the authorized ROE by more than 150 basis points for the benefit of ratepayers, allowing shareholders to retain the remaining 10 percent.

Q. Please clarify what the phrase "deadband" represents.

A. In the context of an ESM, a "deadband" colloquially refers to a level of earnings in excess of the authorized ROE that shareholders can fully retain. Earnings in excess of the "deadband" are deemed shared earnings, with only some portion retained by shareholders and the remainder returned to ratepayers.

Q. How does Mr. Yates' proposed ESM interact with

his ROE true-up proposal?

A. As discussed on pages 55 and 56 of his initial testimony, Mr. Yates proposes that, if the Company's actual returns exceed the "true-up" ROE, the excess earnings should be shared between shareholders and ratepayers, consistent with his proposed ESM. This "sharing" component would thus work in tandem with the "true-up" portion of his proposal. However, if the Commission chooses not to adopt his full "true-up and sharing" mechanisms, Mr. Yates proposes that earnings be shared if they exceed the authorized ROE.

Q. Is there an ESM that is currently in place for the Company?

A. Yes. The Commission's 2023 Rate Order adopted an ESM that includes a 50-basis point deadband, and three earnings sharing thresholds. In tier one, earnings are shared 50 percent/50 percent, in tier two earnings are shared 75 percent/25 percent, and in tier three earnings are shared 90 percent/10 percent between customers and the Company, respectively.

Q. How does Mr. Yates' proposed ESM compare to the ESM the Commission adopted in the 2023 Rate

Order?

A. Mr. Yates' proposed ESM would effectively eliminate the deadband and the 75 percent/25 percent tier.

Q. Why does Mr. Yates propose the Commission alter the ESM for the Company?

A. Mr. Yates states on page 63 of his testimony that he believes it is unlikely that an ESM entailing a deadband will provide equitable sharing between shareholders and customers.

Q. Did the Panel recommend including an ESM in its initial testimony in these proceedings?

A. No. Our initial testimony did not discuss an ESM, nor did it make recommendations for or against one. With certain exceptions, an ESM is usually only included in a negotiated multi-year rate plan. However, we prepared testimony assuming a litigated outcome in these proceedings, resulting in a single-year rate plan for Con Edison.

Q. Does the Panel agree with Mr. Yates' proposal to alter the ESM to which the Company is subject?

A. No. Altering the ESM based on Mr. Yates' proposals is not advisable. If the Commission

were to impose an ESM in a litigated case, we recommend that it adopt an ESM that is similar to the ESM included in the Company's 2023 Rate Order.

Q. Why does the Panel oppose Mr. Yates' proposal to alter the Company's ESM?

A. We oppose Mr. Yates' proposed ESM because it does not appropriately balance two key goals: (1) protecting customers from excessive returns; and (2) maintaining the utility's incentive to pursue efficiencies and productivity gains. These goals can be in tension, so it is essential to set ESM parameters that strike the right balance. In our opinion, the 2023 Rate Order's ESM achieves this balance better than Mr. Yates' proposal.

Q. How does the 2023 Rate Order's ESM reflect a better balance than the one proposed by Mr. Yates?

A. The Company's 2023 Rate Order ESM increased the potential ratepayers' share of earnings more gradually. With a deadband and an intermediate sharing tier, it better preserves the incentive for the Company to achieve efficiencies and productivity gains compared to the ESM proposed

by Mr. Yates.

Q. How do such efficiencies and productivity gains inure to the benefit of ratepayers?

A. The cost savings that result from such efficiencies and productivity gains are eventually reflected in the historic test year used as the basis to set rates in subsequent rate cases. This would be the case even in the absence of an ESM. In other words, shareholders get to enjoy the benefits of efficiencies and productivity gains temporarily, but customers benefit from them over the long term.

COST OF CAPITAL AND RATE CASE EXPENSE STUDY

Q. Did Mr. Yates include any other proposals in his testimony you would like to address?

A. Yes. On page 57 of his initial testimony, Mr. Yates proposes that the parties in this case be invited to participate in a study of the impact of his ROE true-up and ESM proposals on the Company's cost of capital and rate case expenses.

Q. Did Mr. Yates estimate the cost and impact of implementing such a study?

A. No. Mr. Yates does not address the costs or benefits of such a study.

Q. Does the Panel recommend a study akin to what Mr. Yates proposes?

A. No. The cost of this study is unknown, but Mr. Yates has proposed that a potential settlement proceed with this study regardless. This presumes that his proposals are reasonable and worthy of study, and we do not agree that they are.

Q. Do you have any other concerns with this study?

A. Yes. Presumably, this study would evaluate the merits of Mr. Yates' ROE true-up and ESM proposals. And yet, Mr. Yates recommends implementing those proposals before the study has been completed, which we find to be illogical.

PULP'S OVERALL ROE APPROACH

Q. Does the Panel agree with the measures that Mr. Yates proposes in light of his concerns with setting a fixed ROE?

A. No. In addition to the reasons discussed earlier in our testimony, Mr. Yates' proposals, both individually and collectively, would represent a significant and abrupt alteration of the regulatory compact in the State of New York.

Q. Why is this significant?

A. It is critical to maintain high levels of consistency, predictability, and transparency in the ratemaking process, including when it comes to setting the authorized ROE. Among other benefits, this provides a degree of certainty to investors regarding the authorized ROEs that they can expect. Overturning the ROE setting process, and thereby undermining the certainty that investors rely on, would damage the ability of the State's utility companies to raise capital on reasonable terms. Mr. Yates' proposals would damage the regulatory environment of New York State, increase the risk profile of New York utilities, and thereby potentially increase the cost of equity, rather than limit it. The Commission would need to authorize a higher ROE in response, in order to ensure the continued access to the capital markets needed to provide safe and adequate service at just and reasonable rates. Furthermore, altering the regulatory compact in the manner envisioned by Mr. Yates could call the continued creditworthiness of New York State's utilities into question.

Q. Why would the creditworthiness of the State's

utilities potentially be called into question?

A. The reduced certainty would likely be viewed negatively by the credit rating agencies, Moody's Investors Service and S&P Global Ratings, referred to as Moody's and S&P, respectively. Indeed, one of the main items Moody's considers is the "Consistency and Predictability of Regulation." Thus, adopting Mr. Yates' proposal would increase the likelihood of credit downgrades for New York State's utilities. The result would be higher interest costs on debt that would be passed on to customers, not only for the Company but across the State. To avoid a downgrade, the Commission may have to authorize higher ROEs or higher equity ratios to compensate for the elevated risk, ultimately leading to higher costs for customers. In either scenario, customers will be hurt if the Commission adopts Mr. Yates' proposal.

Q. Would credit rating agencies likely consider Mr. Yates' proposal of annual ROE true-ups harmful to the Company's credit profile?

A. Yes. Credit rating agencies value regulatory predictability, especially in how ROEs are set,

as this directly impacts the Company's cash flow stability. Mr. Yates' proposal of annual ROE true-ups introduces uncertainty into the Company's cash flows, which could raise concerns about the stability of its future earnings and overall creditworthiness.

Q. Have any credit rating agencies commented on the importance of a predictable regulatory framework for maintaining the Company's cash flow stability and credit profile?

A. Yes. On June 9, 2025, S&P issued a full analysis on Consolidated Edison Inc., provided in Exhibit__(SFP-30). In this report, S&P states, "[w]e believe [Con Edison, Inc.'s] predictable regulatory framework provides it with manageable cash flow stability, even in economic stress, which supports our use of slightly lower thresholds to assess its liquidity." Although this report pertains to the Company's parent, it is nevertheless instructive as the Company represents the vast majority of the parent's overall business. S&P's statement underscores the importance of regulatory predictability in maintaining the Company's cash flow stability,

and by extension, its overall creditworthiness.

Q. How has the predictable regulatory environment in New York State contributed to the credit ratings of the Company and other major utilities?

A. The predictable regulatory environment in New York State has played a key role in supporting the Company's credit ratings. As noted in our initial testimony, the Company is rated "A3" by Moody's and "A-" by S&P. This stability reflects the confidence credit rating agencies have in the New York regulatory framework's ability to provide cash flow predictability. Similarly, other major utilities in the State benefit from this environment, with credit ratings ranging from "A3" to "Baa2" by Moody's and "A-" to "BBB" by S&P.

Q. How do the credit ratings of utilities in New York State compare with those of utilities across the United States?

A. The majority of utilities in the United States are assigned similar ratings. This can be seen in an article by S&P entitled "North American Electric, Gas, and Water Regulated Utilities, Strongest to Weakest," published on September 10,

2024, and included in Exhibit__(SFP-31). This reveals that New York State utilities have credit ratings that are representative of the utility industry overall. Therefore, if Mr. Yates' proposal were to be adopted by the Commission, the increased cash flow uncertainty could lead to credit rating downgrades for the major utilities in New York State, likely causing their ratings to fall below the national average. Preserving these credit ratings is, therefore, crucial to helping ensure a stable regulatory environment in New York State.

Q. Why should the preservation of a utility's creditworthiness be a consideration when the Commission establishes a rate plan?

A. Preserving a utility's creditworthiness should be a key consideration because it directly impacts both the utility's financial integrity and the costs passed on to customers. Maintaining strong credit ratings reduces interest costs, which are ultimately borne by customers. Since utilities in New York State are currently assigned similar ratings as the national average, any disruption to the ROE decision process, such as Mr. Yates'

proposal, could lead to higher interest costs and increased financial burdens on customers.

Q. In what other ways would Mr. Yates' proposals make the rate-setting process less transparent?

A. The rate-setting process would likely become both more frequent and more acrimonious. In addition, effectuating Mr. Yates' proposals would require an annual proceeding pertaining to ROE without obviating the need to debate ROE during general rate cases. It would not be possible to decide a rate case without considering ROE, as it would deny parties an opportunity for a full hearing about utility rates. As a result, both Staff and the Company would need to devote more resources to the process, the cost of which would ultimately be borne by customers. Furthermore, other parties interested in intervening would also have to devote far more resources to the process in order to have a say in the outcome. For example, on March 22, 2024, PULP sent a letter to the Secretary to the Commission stating that, due to staffing constraints, it could not submit rebuttal testimony in the rate proceeding for National Fuel Gas Distribution Corporation,

Case 23-G-0627. Given these constraints, it is reasonable to assume that PULP and other parties could face similar challenges in devoting the necessary resources to fully participate in the true-up process. Mr. Yates' proposal would place additional strain on all parties involved, ultimately affecting the viability of his proposed ROE true-up process.

Q. Does the Panel have any final comments or conclusions regarding Mr. Yates' proposals?

A. Yes. Mr. Yates clearly aims to protect ratepayers from an unnecessarily high cost of equity. This is an appropriate and admirable goal that we share. It is only with the specific measures he proposes with which we take issue. In our opinion, Mr. Yates' proposals are short-sighted and counterproductive. If adopted, the result would be to inflict a higher cost of equity on customers. Furthermore, Mr. Yates has not presented any new arguments concerning these matters. His positions remain consistent with those previously rejected by the Commission. Therefore, in conclusion, we recommend that the Commission continue to reject Mr. Yates'

proposals on these matters, as it has done in past cases.

RESPONSE TO STATE SENATOR JACKSON

Q. Please briefly describe Mr. Quinsac's recommendations as they pertain to the cost of capital.

A. Among other things, Mr. Quinsac recommends that ROEs should "hover between the Fed Funds rate and 50 basis points above the most recent bond issuance" on page 14 of his testimony.

Q. What is the current value of the Fed Funds Rate?

A. According to the Federal Reserve Bank of New York, the Fed Funds Rate was 4.33 percent as of May 30, 2025, the date of Mr. Quinsac's initial testimony.

Q. What is the current value of the most recent bond issuance to which Mr. Quinsac refers?

A. We are unable to confidently answer this question, as Mr. Quinsac did not specify what bond issuance he was referring to. If Mr. Quinsac is referring to a Treasury Bond, we note that the 30-year Treasury yielded 4.92 percent on May 30, 2025. If Mr. Quinsac is referring to a bond issued by Con Edison, we note that it most

recently issued a 30-year bond on November 18, 2024 at 5.50 percent. It is possible, however, that Mr. Quinsac was referring to something else.

Q. What do you conclude from this information?

A. We infer from Mr. Quinsac's stated proposal and from these facts that Mr. Quinsac effectively recommends that the authorized ROE be set between 4.33 percent and 6.00 percent.

Q. Did Mr. Quinsac provide reasoning for his recommendation?

A. Mr. Quinsac expresses concern that the ROE requested by the Company is too high. In particular, he states that an elevated ROE increases a utility's revenue requirement, which is recovered through higher rates. He notes that these increases disproportionately affect low income and disadvantaged consumers. However, he did not provide any rationale or evidence to support his specific recommendation for setting the authorized ROE between the Fed Funds Rate and 50 basis points above the most recent bond issuance.

Q. What is the Panel's view on Mr. Quinsac's recommendation that ROE should hover between the

Fed Funds rate and 50 basis points above the most recent bond issuance?

A. While we agree that the Company's requested ROE is excessive, it is equally true that Mr. Quinsac's recommendation would set the authorized ROE too low.

Q. Please explain.

A. It is true that Con Edison customers pay some of the highest electric and gas rates in the U.S. However, it is also true that the Commission authorizes some of the lowest ROEs in the U.S. In our initial testimony, we explain why an authorized ROE of 9.30 percent is reasonable despite being below average. Namely, there are a number of regulatory mechanisms that lower the risk profile of New York's utilities relative to those of other states, thus reducing the return that is demanded by investors. However, there is a limit to how low the authorized ROE can fall before this balance between risk and return comes undone.

Q. Does Mr. Quinsac comment on the risk profile of Con Edison?

A. Yes. On page three of his testimony, he states

that "the regulatory framework currently guarantees utilities a profit while they have low to no risks."

Q. Does the Panel agree with this statement?

A. No. We take exception to this statement for two reasons.

Q. What is the first reason?

A. First, the regulatory framework does not guarantee utilities a profit. For Mr. Quinsac to say that it does is simply not correct. In authorizing an allowance for ROE when setting utility rates, the Commission is providing Con Edison only a reasonable opportunity to earn that ROE. If Con Edison fails to take full advantage of that reasonable opportunity, it is not entitled to retroactively recover the shortfall from customers. It is solely the utility company's responsibility to earn the ROE that it is authorized.

Q. What is the second reason?

A. Second, to say that utilities have low to no risks is not accurate. It is true that utilities have low risk, and we implied as much in our direct testimony. However, it is incorrect to

say that utilities have no risks at all. Thus, while Con Edison's authorized ROE should not be set to excessive levels, it should reflect all of the risks that investing in Con Edison entails.

Q. What risks does investing in Con Edison entail?

A. Generally speaking, an investor in Con Edison runs the risk that its future business prospects will not meet expectations. This could result from adverse regulatory decisions, missteps by management, changes in customer behavior, broader trends in the overall economy, or the impact of natural or human-caused disasters, to name a few examples.

Q. Would a ROE that hovers between the Fed Funds rate and 50 basis points above the most recent bond issuance adequately compensate investors for bearing these risks?

A. No. In our opinion, an authorized ROE in the range recommended by Mr. Quinsac would not adequately compensate investors for the risk of investing in Con Edison at this time.

Q. What are the consequences of failing to adequately compensate investors?

A. This would hamper Con Edison's ability to raise

capital at reasonable terms. Without access to capital, Con Edison would be unable to pay for upfront improvements to its systems, and they would likely fall into severe disrepair. In short, setting the authorized ROE far too low could damage the Company's ability to provide safe and adequate service.

Q. Why would inadequate compensation to investors hamper Con Edison's ability to raise capital?

A. Investors are reluctant to invest when and where there is an imbalance between risk and return. This is especially the case if there are alternatives available to them, of which there are many. Con Edison competes for capital with other companies, especially other U.S. utilities. There are dozens of other utility companies that investors can consider, most of which are authorized higher ROEs than the 9.30 percent that we recommend. In addition, investors can consider investing outside of the utility industry. Finally, investors have the option of not investing at all. In short, investors have the option of deploying their capital elsewhere if they judge that to be a better proposition

than Con Edison. If they exercise this option, the supply of capital available to Con Edison will diminish.

Q. Could authorizing a ROE in the range that Mr. Quinsac proposes have an impact on Con Edison's credit ratings?

A. Yes. It likely would result in a downgrade of the Company's credit ratings. As noted earlier in testimony when discussing PULP's proposals, credit rating agencies value regulatory predictability, especially in how ROEs are set, as this directly impacts the Company's cash flow stability. Setting the authorized ROE where Mr. Quinsac proposes would severely hamper the Company's cash flows, raising concerns about the stability of its future earnings and overall creditworthiness. Given the severity of Mr. Quinsac's proposal, there is a possibility that Con Edison could be downgraded several notches, perhaps even below investment-grade levels. We stated earlier that a lower ROE would reduce the Company's access to capital, potentially causing the utility system to fall into disrepair. A less than investment-grade credit rating would

compound that problem. Furthermore, a lower credit rating, especially one that is not investment-grade, would be reflected in higher interest costs, which are ultimately borne by ratepayers. Far from alleviating affordability concerns, Mr. Quinsac's proposal could actually result in increased financial burdens on customers.

Q. What does the Panel recommend the Commission do regarding Mr. Quinsac's ROE recommendation?

A. We recommend that the Commission reject Mr. Quinsac's recommendation to authorize a ROE that hovers between the Fed Funds rate and 50 basis points above the most recent bond issuance.

RESPONSE TO ASSEMBLYMEMBER BURDICK

Q. Please briefly describe Assemblymember Burdick's recommendations as they pertain to the cost of capital.

A. Assemblymember Burdick recommends that a ROE of no greater than 8.80 percent should be authorized in these rate proceedings.

Q. Did Assemblymember Burdick provide any rationale for his recommendation?

A. Yes. Assemblymember Burdick states on page 19 of

his direct testimony that today's market conditions are similar to those which were present during the 2017 rate proceeding for Central Hudson Gas & Electric Corporation, referred to as Central Hudson, Cases 17-E-0459 and 17-G-0460. Thus, he believes that a more reasoned and balanced approach would be to authorize at most the same ROE that the Commission authorized for Central Hudson in those cases, which was 8.80 percent.

Q. How does Assemblymember Burdick support his assertion that today's market conditions are similar to those present during Central Hudson's 2017 rate proceeding?

A. According to page 18 of his direct testimony, Assemblymember Burdick considered certain "key factors" such as low inflation rates, strong base rates, strong access to capital markets and strong shareholder returns.

Q. Does the Panel agree that today's market conditions are similar to those during Central Hudson's 2017 rate proceeding?

A. No. The "key factors" cited by Assemblymember Burdick do not provide a complete picture of past

or present market conditions. We will discuss each "key factor" in turn.

Q. Regarding inflation, how does the Panel respond to Assemblymember Burdick?

A. We acknowledge that the rate of inflation is similar now to what it was at the time of Central Hudson's 2017 rate proceeding. However, there is a critical caveat to this comparison that Assemblymember Burdick overlooked. Specifically, interest rates were much lower then than they are now. This can be seen when comparing the 10-year and 30-year Treasury yields, which serve as a basic measure of the cost of capital. The yields on both instruments have significantly increased since 2017. The 10-year Treasury yielded 2.30 percent in May of 2017, whereas it yielded 4.42 percent in May of 2025 over 200 basis points higher. The 30-year Treasury yielded 2.96 percent in May of 2017, as opposed to 4.90 percent in May of 2025, nearly 200 basis points higher. The rise in interest rates is the result of Federal Reserve policy to get inflation under control after the COVID-19 pandemic. Therefore, while it is true that inflation is back to where

it was prior to the pandemic, the cost of capital is not. This demonstrates that there are other variables at play besides inflation that influence Con Edison's cost of capital, as well as the cost of capital more broadly.

Q. How does the Panel respond to Assemblymember Burdick's discussion of strong base rates?

A. We believe that this argument puts the cart before the horse, as the question of what Con Edison's base rates should be is precisely what this proceeding will address.

Q. How does the Panel respond to Assemblymember Burdick's discussion of strong access to capital markets?

A. We agree that Con Edison currently has strong access to capital. However, access to capital broadly is not as strong as it was during Central Hudson's 2017 rate proceeding. This can be seen in the rise of Treasury yields, as discussed above. The terms on which Con Edison accesses capital are less attractive now than they were pre-pandemic. To clarify, capital can still be accessed fairly easily, but not quite as easily as before.

Q. How does the Panel respond to Assemblymember Burdick's discussion of strong shareholder returns?

A. We commented on this in our direct testimony as well. Specifically, we cited a recent increase in Consolidated Edison, Inc.'s dividend as evidence that the Company was optimistic about its future business prospects. However, the critical caveat is that this conveyed optimism assuming the Commission would maintain its long-standing practice of setting ROE using the Discounted Cash Flow method, weighted two-thirds, and the Capital Asset Pricing Model, weighted one-third, in litigated cases. Assemblymember Burdick effectively recommends departing from this practice. If adopted, the Company's shareholder returns may not remain as strong as they have been.

Q. Did Assemblymember Burdick attempt to calculate the current cost of equity?

A. No. Aside from his historical comparison, Assemblymember Burdick did not provide an estimate of the cost of equity.

Q. Did Assemblymember Burdick include any studies in

his testimony regarding ROE?

A. Yes, Assemblymember Burdick included one study as Exhibit__(CWB-12), the September 2024 Energy Institute at Haas working paper entitled "Rate of Return Regulation Revisited" by Karl Dunkle Werner and Stephen Jarvis.

Q. What are the study's findings?

A. The study by Dunkle Werner and Jarvis found that authorized ROEs in the U.S. are much higher than various benchmarks and historical relationships would suggest.

Q. How does the Panel respond?

A This study provides no support to Assemblymember Burdick's specific ROE recommendation of 8.80 percent, nor does it demonstrate that 8.80 percent is in line with the various benchmarks or historical relationships that it cites. We reiterate that the Commission authorizes some of the lowest ROEs in the U.S., suggesting that the issue addressed by the study is less of a concern in New York than it would be elsewhere in the country.

Q. Does the Panel have any final conclusions regarding Assemblymember Burdick's ROE

recommendation?

A. Yes. We agree with Assemblymember Burdick that the ROE requested by Con Edison is excessive and should be rejected. However, his recommended ROE of no greater that 8.80 percent is not supported. We recommend that the Commission reject Assemblymember Burdick's ROE recommendation in favor of our ROE recommendation of 9.30 percent, subject to update at the time of its decision.

Q. Does this conclude the Panel's rebuttal testimony at this time?

A. Yes, it does.